What are the contributing factors behind the significant increase in US home prices since the 1980's?

Team 4: ***Alejandra Lozano, Darlene Suarez, Jason Caniz, Todd Alexander***

Highlights

- Investors buying more properties
- Interest rate reached a record setting low of 2.96% in 2021
- More demand less supply in 2021 due population
- Inflation after each global financial crisis

Background

Since the 1980's, average U.S. home prices have increased and are currently at an historic high. By comparison average household income has remained relatively flat, creating a housing affordability gap particularly for lower income households.

Data

Features that influence the housing market were from supply and demand variables in the market. We are looking for correlation between mortgage pricing and average household price, minimum wages, cost of living, inflation, and average GDP.

(1981-2022)
Time-series
Recessions|Pandemic

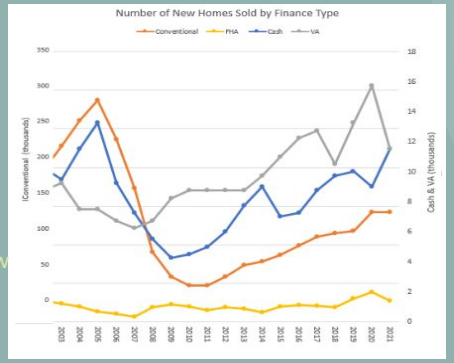
Features
Housing Supply: Inventory, Construction, Mortgage Interest Rates, Vacancy
Demand: Interest rate change, investors, population
GPD: Inflation, houshold income

Model

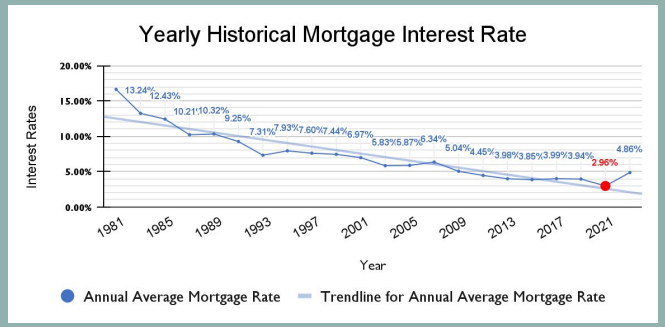
We based our data of the time series and causations for the affordability gap. We broke down factors affecting income and factors influencing housing cost.

Insights Results

The 2008 recession created a drop in home investment loans. The market began to recover and stabilize 2012-2018. The 2020 pandemic had an increase of new homes sold.

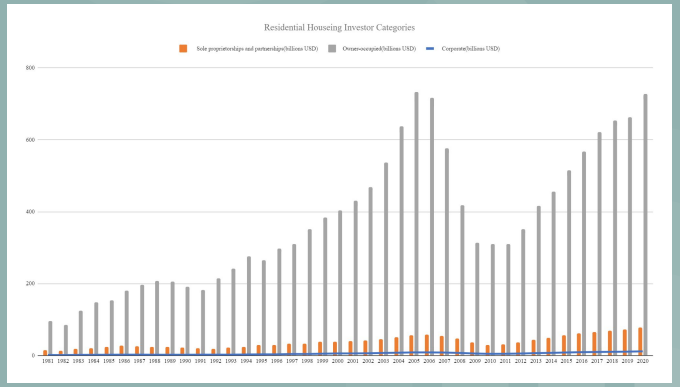


Interest rates have dropped significantly since 1981 which have increased the demand in the market.



Main Finding:

The housing affordability gap has been created to factors influencing supply and demand. Inflation has been a key factor in increasing housing cost, construction, and sale price. Demand has increased exponentially due to population increase, low interest rates, and non-residential investors setting the market price higher.



Consumer type in the housing market now include non-residential owner occupied tenants or outside investors like corporations or vacation rentals.